

Pelham Home

Pelham Home traded at 6.5 times earnings in a sector where the median was 12.4, and the screen that flagged it had been running for eleven years without ever being asked what it was measuring.

Pelham built entry-level and first-move-up houses in Texas, Arizona, and the Carolinas. It had closed 8,400 homes in the trailing twelve months at an average price of \$362,000, generating \$3.04 billion of revenue, \$478 million of pretax income, and a return on equity of 17.1 percent — the highest in its peer group. Its price-to-book was 0.9, the lowest in the group. Net debt to EBITDA was 1.9 times, the highest.

The investment case, as written by the analyst who had brought it to the Monday meeting, ran three sentences: highest return on equity in the sector, lowest multiple in the sector, trading below book value. The market was wrong about Pelham and would eventually notice.

Odalys Prieto, who chaired the meeting, had been an analyst through 2006 and had a rule about homebuilders that she stated the same way every time. "Tell me where we are in the cycle before you tell me what the multiple is."

The relevant facts about where they were: thirty-year mortgage rates had come down 180 basis points over eighteen months, existing-home inventory was near a twenty-year low, and Pelham's gross margin was 26.4 percent against a ten-year average of 19.1 percent. Pelham had bought most of the land it was building on in 2020 and 2021 and was delivering houses onto it at 2026 prices. Its land book had four years of supply at current absorption, of which roughly half had been optioned or purchased after 2023.

Prieto's question to the room was whether Pelham was cheap or whether Pelham's earnings were high, and whether anyone could tell the difference from a multiple.

EXHIBIT 1 — HOMEBUILDER COMPARABLES

COMPANY	P/EEV/EBITDAP/B	ROE	NET DEBT/EBITDA	3-YR REVENUE CAGR	AVG. SELLING PRICE
Pelham Home	6.5	4.9 0.917.1%	1.9	14%	\$362k
Halstead Residential	8.1	6.1 1.115.5%	1.5	11%	\$391k
Ashcombe Builders	11.2	7.8 1.414.4%	0.8	8%	\$448k
Statham Communities	12.4	8.6 1.612.9%	1.0	6%	\$512k
Doverly Group	14.6	9.9 1.913.2%	0.4	7%	\$604k
Merrifield Homes	15.9	10.4 2.214.1%	0.2	9%	\$687k

Pelham's ten-year average gross margin is 19.1 percent against 26.4 percent today. Applying the ten-year average margin to current volumes and prices produces earnings of about 62 percent of the trailing figure.

Assume a cost of equity of 10.5 percent and long-run growth of 3 percent for every company in the table.

ASSIGNMENT

- 1 Pelham has the highest return on equity and the lowest price-to-book in the group. Using the warranted price-to-book relationship, is that combination internally consistent?
- 2 Recompute Pelham's price-to-earnings ratio on mid-cycle earnings rather than trailing earnings. Where does it now sit relative to the group?
- 3 Now recompute the warranted price-to-book using a mid-cycle return on equity of 10.6 percent. What happens to the conclusion in question 1?
- 4 Two companies in this table look expensive on every multiple and are not obviously better businesses. Identify them and say what a buyer of those shares must believe.
- 5 Prieto asks you for one number that separates "cheap" from "earning too much right now." Give her the number and say what would have to be true for you to be wrong.